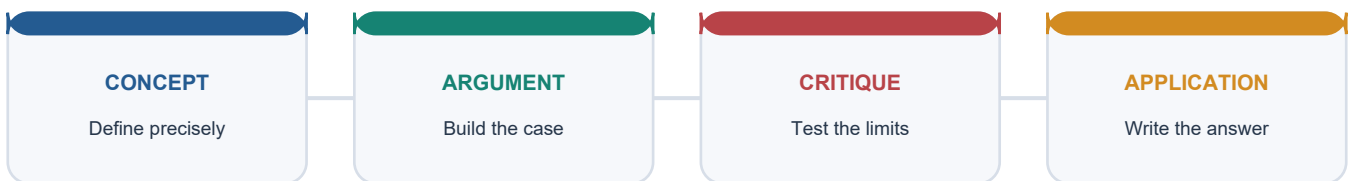


COMPLETE LEARNING SESSION

Growth, Development, HDI, IHDI and MPI - Solved Practice Workbook

Solved Practice Workbook

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

Workbook Contents

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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Growth, Development, HDI, IHDI and MPI - Solved Practice Workbook

Standalone scope: exactly 32 original MCQs before PYQs, strict ABCD rotation repeated eight times, 128 substantive unique option explanations, 32 unique question-specific traps, official-key discipline and exactly six original Mains model answers.

Practice contract: Exactly 32 original MCQs appear before PYQs. Correct answers follow ABCD repeated eight times. Every option receives a substantive question-specific explanation and every question ends with a unique examiner trap.

BASIC MCQS / REMEDIATION

MCQ 1

Which observation is sufficient by itself to establish economic growth in the strict sense?

- A. Nominal GDP rose while the price level also rose
- B. Real GDP increased over the stated period
- C. The HDI rank improved
- D. Public social expenditure increased

Answer: A.

Option-specific explanations:

- **A - Correct:** Nominal expansion can be entirely price-driven, so it does not establish higher real output.
- **B - Incorrect:** A rise in real GDP directly records a quantitative expansion of inflation-adjusted output.
- **C - Incorrect:** HDI rank is a relative human-development position, not a growth measure.
- **D - Incorrect:** Expenditure is an input and may rise without measured output growth.

Examiner trap 1: Growth is established by a real quantity measure, not by a welfare or spending proxy.

MCQ 2

Which statement best distinguishes development from growth?

- A. Development excludes changes in output
- B. Development adds structural, distributive, capability and sustainability dimensions to quantitative expansion
- C. Development is measured only by per-capita GNI
- D. Development begins only after growth has ended

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Development normally includes the resource gains produced by growth rather than excluding output.
- **B - Correct:** Development asks how growth changes structure, capabilities, distribution and sustainability.
- **C - Incorrect:** Per-capita GNI is one means and one average, not the sole definition.
- **D - Incorrect:** Growth and development interact; they are not sequential non-overlapping eras.

Examiner trap 2: Do not define development as growth plus any one social indicator.

MCQ 3

A country records rapid real GDP growth but stagnant employment and widening regional deprivation. The most accurate description is

- A. development without growth
- B. negative growth with inclusion
- C. job-poor growth with weak conversion into broad development
- D. proof that productivity has fallen

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Real GDP growth rules out the description of no growth.
- **B - Incorrect:** Stagnant employment and widening deprivation do not establish inclusion.
- **C - Correct:** Output can expand with weak labour absorption and uneven capability conversion.
- **D - Incorrect:** Productivity can rise in capital-intensive sectors even when employment stagnates.

Examiner trap 3: Jobless growth concerns employment transmission, not necessarily absence of productivity.

MCQ 4

Which policy package most directly supports sustainable inclusive growth?

- A. Only raising aggregate investment
- B. Only increasing cash transfers
- C. Only improving the HDI rank
- D. Employment-intensive productivity, quality basic services, protection against shocks and ecological resilience

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Investment matters but its sectoral, labour and environmental effects must be tested.
- **B - Incorrect:** Transfers protect consumption but do not alone create capabilities or productive jobs.
- **C - Incorrect:** A rank target can encourage indicator gaming and ignores mechanisms.
- **D - Correct:** The package combines production, participation, capability, protection and sustainability.

Examiner trap 4: Inclusive growth is both a process of participation and an outcome of shared capability.

MCQ 5

How many formal dimensions and component indicators does the HDI have under UNDP's 2025 method?

- A. Three dimensions and four indicators
- B. Four dimensions and four indicators
- C. Three dimensions and three indicators
- D. Four dimensions and five indicators

Answer: A.

Option-specific explanations:

- **A - Correct:** Health, education and living standard are three dimensions; education has two indicators, making four indicators overall.
- **B - Incorrect:** Inequality is not a fourth HDI dimension.
- **C - Incorrect:** Education uses both mean and expected years, so there are more than three indicators.
- **D - Incorrect:** Political freedom is not an HDI component indicator.

Examiner trap 5: Do not count two education indicators as two dimensions.

MCQ 6

Which is the HDI standard-of-living indicator?

- A. Real GDP per capita at market exchange rates
- B. GNI per capita in constant 2021 PPP dollars under the 2025 technical note
- C. Household consumption below a poverty line
- D. Average household wealth

Answer: B.

Option-specific explanations:

- **A - Incorrect:** GDP and market exchange rates do not match the UNDP definition.
- **B - Correct:** UNDP uses GNI per capita in PPP terms and identifies the PPP/base vintage.
- **C - Incorrect:** A poverty-line headcount belongs to monetary poverty measurement.
- **D - Incorrect:** Wealth is not the formal HDI living-standard indicator.

Examiner trap 6: HDI uses GNI, PPP and a dated methodology, not GDP alone.

MCQ 7

Under the 2025 UNDP technical note, the education index is formed by

- A. multiplying literacy and enrolment rates
- B. using mean years of schooling alone
- C. averaging the normalised expected-years and mean-years schooling indices
- D. taking the geometric mean of school attendance and attainment

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Literacy and enrolment are not the current component pair.
- **B - Incorrect:** Mean years captures adult attainment but not expected schooling for entrants.
- **C - Correct:** Each schooling indicator is normalised, then their indices are averaged arithmetically.
- **D - Incorrect:** The named indicators and aggregation are incorrect.

Examiner trap 7: The final HDI is geometric, but the two education subindices are arithmetically averaged.

MCQ 8

Why is GNI per capita logarithmically transformed in HDI?

- A. To remove all income inequality
- B. To convert nominal income into real income
- C. To make income equal in weight to population
- D. To reflect diminishing capability gains from additional income

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Inequality is addressed by IHDI, not removed by a log.
- **B - Incorrect:** PPP and constant-price procedures address purchasing power and price comparability.
- **C - Incorrect:** Weighting and transformation are different operations.
- **D - Correct:** UNDP treats additional income as contributing less to capabilities at higher levels.

Examiner trap 8: The logarithm is about diminishing returns, not inequality adjustment.

MCQ 9

Which set gives the 2025 HDI goalposts correctly?

- A. Life expectancy 20-85; EYS 0-18; MYS 0-15; GNIpc 100-75,000 in 2021 PPP dollars
- B. Life expectancy 0-100; literacy 0-100; GDPpc 0-100,000
- C. Life expectancy 25-80; EYS 0-15; MYS 0-12; GNIpc 500-50,000
- D. The goalposts equal the lowest and highest country values each year

Answer: A.

Option-specific explanations:

- **A - Correct:** These are the explicit minimum and maximum values in UNDP Technical Note 1 for HDR 2025.
- **B - Incorrect:** The indicators and bounds do not match the current method.
- **C - Incorrect:** These values are not the applicable technical-note goalposts.
- **D - Incorrect:** The method uses fixed stated goalposts rather than automatically adopting each year's extremes.

Examiner trap 9: Goalposts are methodology-specific; always state the report/technical-note vintage.

MCQ 10

What does the geometric mean in HDI primarily do?

- A. Makes every dimension perfectly substitutable
- B. Penalises unbalanced achievement more than a simple arithmetic mean
- C. Adjusts each dimension for inequality
- D. Converts GNI into PPP dollars

Answer: B.

Option-specific explanations:

- **A - Incorrect:** A geometric mean limits, rather than creates, perfect substitution.
- **B - Correct:** A low dimension reduces the product and therefore the composite more strongly.
- **C - Incorrect:** Dimension-level inequality discounting belongs to IHDI.
- **D - Incorrect:** PPP conversion precedes aggregation and is not performed by the mean.

Examiner trap 10: Geometric aggregation reduces but does not abolish substitutability.

MCQ 11

A country improves its HDI value but falls in rank. Which inference is valid?

- A. Its human development necessarily deteriorated
- B. UNDP changed HDI into MPI
- C. Other countries or the comparison set may have changed relatively faster
- D. Its IHDI must have risen

Answer: C.

Option-specific explanations:

- **A - Incorrect:** A higher comparable value indicates improvement, subject to revision, even if rank falls.
- **B - Incorrect:** HDI and MPI remain distinct methods.
- **C - Correct:** Rank is relative and can move differently from the country's value.
- **D - Incorrect:** HDI movement does not determine IHDI movement.

Examiner trap 11: Rank is ordinal and depends on peers, coverage and revisions.

MCQ 12

Which statement about report year and data year is correct?

- A. They are always identical
- B. A rank has no publication vintage
- C. Every component necessarily uses the same survey date
- D. A report may publish values mainly referring to an earlier reference year, which must be stated

Answer: D.

Option-specific explanations:

- **A - Incorrect:** International reports commonly use lagged inputs.
- **B - Incorrect:** Rank is tied to a specific release and comparison set.
- **C - Incorrect:** Component sources can have different vintages.
- **D - Correct:** Separating publication and reference years prevents false currency.

Examiner trap 12: Never call a report-year label the observation year without checking metadata.

MCQ 13

What is the IHDI?

- A. HDI after discounting each dimension for inequality
- B. HDI plus a fourth inequality dimension
- C. MPI divided by HDI
- D. A gender-only version of HDI

Answer: A.

Option-specific explanations:

- **A - Correct:** IHDI adjusts health, education and income indices for their distribution.
- **B - Incorrect:** Inequality is an adjustment, not an added dimension.
- **C - Incorrect:** MPI and HDI use different architectures and cannot form this ratio.
- **D - Incorrect:** GDI and GII are gender-focused measures.

Examiner trap 13: IHDI retains exactly the three HDI dimensions.

MCQ 14

When does IHDI equal HDI?

- A. When income inequality alone is zero
- B. When there is no inequality across people in all three dimensions
- C. When MPI is zero
- D. When a country has very high HDI

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Equality in one dimension is insufficient if others are unequal.
- **B - Correct:** With every dimension loss zero, adjusted and unadjusted indices coincide.
- **C - Incorrect:** MPI zero does not mathematically determine IHDI.
- **D - Incorrect:** A high average can coexist with large inequality.

Examiner trap 14: The equality case is distributional, not a development-category threshold.

MCQ 15

The proportional loss due to inequality is expressed as

- A. HDI minus MPI
- B. IHDI divided by MPI
- C. 1 minus IHDI divided by HDI
- D. HDI rank minus IHDI rank

Answer: C.

Option-specific explanations:

- **A - Incorrect:** MPI is not part of the IHDI loss formula.
- **B - Incorrect:** The ratio has no such interpretation.
- **C - Correct:** The difference relative to HDI gives the proportional loss.
- **D - Incorrect:** Rank difference is ordinal and is calculated on a restricted comparison set.

Examiner trap 15: Do not confuse value loss with rank difference.

MCQ 16

Which limitation of IHDI is stated by UNDP?

- A. It omits income completely
- B. It has no health dimension
- C. It is always greater than HDI
- D. It is not association-sensitive because dimensions are not jointly observed for each person in one harmonised source

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Income is one of the adjusted dimensions.
- **B - Incorrect:** Health remains a core dimension.
- **C - Incorrect:** IHDI cannot exceed HDI under the adjustment.
- **D - Correct:** The data architecture prevents observing overlapping inequalities for the same individuals.

Examiner trap 16: IHDI distribution sensitivity is not the same as MPI-style joint deprivation identification.

MCQ 17

Which list contains the global MPI's health indicators?

- A. Nutrition and child mortality
- B. Nutrition, maternal health and bank account
- C. Life expectancy and morbidity
- D. Infant mortality and insurance

Answer: A.

Option-specific explanations:

- **A - Correct:** The global method assigns nutrition and child mortality weight 1/6 each.
- **B - Incorrect:** Maternal health and bank account are national-India adaptations in different dimensions.
- **C - Incorrect:** Life expectancy belongs to HDI, and morbidity is not a named global MPI indicator.
- **D - Incorrect:** The named pair is not the global architecture.

Examiner trap 17: Do not import India's added indicators into the global MPI.

MCQ 18

In the global MPI, each living-standard indicator carries what weight?

- A. One-sixth
- B. One-eighteenth
- C. One-third
- D. One-tenth

Answer: B.

Option-specific explanations:

- **A - Incorrect:** One-sixth applies to each health and education indicator.
- **B - Correct:** Six indicators divide the one-third living-standard dimension equally.
- **C - Incorrect:** One-third is the total dimension weight.
- **D - Incorrect:** Ten indicators are not equally weighted.

Examiner trap 18: Equal dimensions do not imply equal indicator weights.

MCQ 19

Under the current global methodology, who is identified as MPI poor?

- A. Anyone deprived in one indicator
- B. Anyone below a monetary poverty line
- C. A person in a household deprived in at least one-third of weighted indicators
- D. Only a person deprived in all three dimensions

Answer: C.

Option-specific explanations:

- **A - Incorrect:** One low-weight indicator may be below the poverty cutoff.
- **B - Incorrect:** MPI identification is non-monetary.
- **C - Correct:** The weighted score must reach at least one-third.
- **D - Incorrect:** Deprivation need not include every dimension.

Examiner trap 19: The second cutoff applies to the weighted sum, not the raw number of indicators.

MCQ 20

Which classification is correctly matched in the current global method?

- A. Vulnerable means score below 10 percent
- B. Severe means score above one-third
- C. Vulnerable and severe use the same cutoff
- D. Vulnerable: 20 percent to below one-third; severe: at least 50 percent

Answer: D.

Option-specific explanations:

- **A - Incorrect:** The vulnerable band begins at one-fifth.
- **B - Incorrect:** Severe poverty uses a higher one-half threshold.
- **C - Incorrect:** The categories are distinct.
- **D - Correct:** These are the verified current global thresholds.

Examiner trap 20: Thresholds belong to the global method and should not be transferred automatically.

MCQ 21

In MPI notation, incidence H means

- A. The share of the population identified as multidimensionally poor
- B. The average deprivation score among all households
- C. The number of indicators in the index
- D. The HDI loss due to inequality

Answer: A.

Option-specific explanations:

- **A - Correct:** H equals q divided by n after applying the poverty cutoff.
- **B - Incorrect:** A, not H, is the poor's average intensity; averaging all households changes the concept.
- **C - Incorrect:** Indicator count is part of architecture, not incidence.
- **D - Incorrect:** HDI loss belongs to IHDI.

Examiner trap 21: Monetary headcount and MPI incidence use different identification rules.

MCQ 22

MPI intensity A is

- A. The poverty cutoff
- B. The average weighted deprivation share among the multidimensionally poor
- C. The national poverty headcount
- D. The sum of all uncensored deprivations in the population

Answer: B.

Option-specific explanations:

- **A - Incorrect:** The cutoff identifies poor households but is not A.
- **B - Correct:** A averages censored deprivation scores over poor people.
- **C - Incorrect:** H is the headcount ratio.
- **D - Incorrect:** Aggregation over the full population corresponds to H times A, not A alone.

Examiner trap 22: The denominator for A is the poor population.

MCQ 23

In a population, H is 0.40 and A is 0.50. The MPI is

- A. 0.90
- B. 0.45
- C. 0.20
- D. 0.10

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Adding H and A is not the formula.
- **B - Incorrect:** A simple average is not the adjusted headcount.
- **C - Correct:** Multiplication gives $0.40 \times 0.50 = 0.20$.
- **D - Incorrect:** 0.10 would understate the product.

Examiner trap 23: MPI is a product, so preserve decimal or percentage units consistently.

MCQ 24

If H falls while A among the remaining poor rises, what can be concluded?

- A. Every poor household improved
- B. Poverty necessarily worsened
- C. The MPI must be unchanged
- D. Fewer people are identified as poor, but those remaining may face more intense deprivation

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Cross-sectional H does not prove every household's trajectory.
- **B - Incorrect:** The net MPI effect depends on the magnitude of both changes.
- **C - Incorrect:** The product can rise, fall or stay constant.
- **D - Correct:** The two components can legitimately move in opposite directions.

Examiner trap 24: Report both H and A instead of narrating headcount alone.

MCQ 25

Which institution publishes India's National MPI?

- A. NITI Aayog
- B. MoSPI alone
- C. Reserve Bank of India
- D. Finance Commission

Answer: A.

Option-specific explanations:

- **A - Correct:** NITI Aayog is the nodal publisher for the national MPI exercise.
- **B - Incorrect:** MoSPI supplies important statistics but is not the publisher of this report.
- **C - Incorrect:** RBI does not own the national MPI.
- **D - Incorrect:** The Finance Commission does not publish it.

Examiner trap 25: Publisher, survey producer and technical partner are different roles.

MCQ 26

Which source periods underpin NITI Aayog's 2023 Progress Review comparison?

- A. Census 2001 and 2011
- B. NFHS-4 (2015-16) and NFHS-5 (2019-21)
- C. PLFS 2021-22 and 2022-23
- D. HDR 2022 and HDR 2023

Answer: B.

Option-specific explanations:

- **A - Incorrect:** The report is based on household health-survey rounds, not censuses.
- **B - Correct:** These are the two survey periods named in the report.
- **C - Incorrect:** PLFS is a labour-force survey and not the stated MPI source.
- **D - Incorrect:** UNDP HDRs do not supply the national comparison microdata.

Examiner trap 26: The report's 2023 release date is not its data period.

MCQ 27

Which pair is added in India's national architecture relative to the global ten-indicator list?

- A. Life expectancy and GNI per capita
- B. Political participation and safety
- C. Maternal health and bank account
- D. Employment and consumption

Answer: C.

Option-specific explanations:

- **A - Incorrect:** These are HDI indicators.
- **B - Incorrect:** Neither is in the national 12-indicator architecture.
- **C - Correct:** The national adaptation includes maternal health and bank-account access.
- **D - Incorrect:** Employment and consumption are important but not the named added indicators.

Examiner trap 27: National adaptation changes both the count and some weights.

MCQ 28

Which national-MPI weighting statement is correct?

- A. All 12 indicators receive one-twelfth
- B. Health indicators all receive one-ninth
- C. Living-standard indicators retain one-eighteenth despite adding bank account
- D. Nutrition is 1/6; child/adolescent mortality and maternal health are 1/12 each; seven living-standard indicators are 1/21 each

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Equal indicator weights would not preserve the reported architecture.
- **B - Incorrect:** Health is not split into three equal weights.
- **C - Incorrect:** Adding a seventh indicator requires the stated one-third dimension to be redistributed.
- **D - Correct:** This matches the official 2023 national method.

Examiner trap 28: Do not assume equal-within-dimension weights for India's health dimension.

MCQ 29

What did NITI Aayog's 2023 report state for India's MPI headcount comparison?

- A. 24.85 percent in NFHS-4 to 14.96 percent in NFHS-5
- B. 14.96 percent in 2023 to 11.28 percent in 2026
- C. 55.3 percent in Census 2011 to 5.3 percent in PLFS 2023
- D. A current annual estimate with no survey lag

Answer: A.

Option-specific explanations:

- **A - Correct:** The report ties these values to 2015-16 and 2019-21 survey periods.
- **B - Incorrect:** The first value is not a 2023 observation, and the second pair is not the report comparison.
- **C - Incorrect:** These numbers mix unrelated vintages and measures.
- **D - Incorrect:** NFHS-based MPI is not an annual current series.

Examiner trap 29: Always attach 24.85 and 14.96 to their NFHS periods and the 17 July 2023 report.

MCQ 30

Which limitation follows from household-level MPI identification?

- A. It cannot be decomposed by indicator
- B. It may conceal unequal deprivation among members of the same household
- C. It uses only income
- D. It has no poverty cutoff

Answer: B.

Option-specific explanations:

- **A - Incorrect:** MPI is designed for indicator decomposition.
- **B - Correct:** Assigning household status to members can hide gender, age or disability differences within the household.
- **C - Incorrect:** MPI is explicitly multidimensional.
- **D - Incorrect:** The poverty cutoff is central to identification.

Examiner trap 30: Household targeting convenience comes with intra-household blindness.

MCQ 31

Which inference from rising social-service expenditure is strongest?

- A. Inclusive growth is proven
- B. HDI must rise by the same percentage
- C. The spending creates a potential conversion channel whose access, quality and outcomes must be verified
- D. Inequality has been eliminated

Answer: C.

Option-specific explanations:

- **A - Incorrect:** An input increase alone cannot prove distributional outcomes.
- **B - Incorrect:** HDI does not move mechanically with expenditure.
- **C - Correct:** The chain from allocation to capability requires utilisation and quality evidence.
- **D - Incorrect:** No expenditure series establishes equality by itself.

Examiner trap 31: Budgetary input, service output and human outcome are separate stages.

MCQ 32

Which conclusion best integrates growth, HDI, IHDI and MPI?

- A. Replace GDP entirely with MPI
- B. Use HDI rank as the sole target
- C. Treat every index change as causal proof
- D. Use real growth and jobs for resources, HDI for average achievement, IHDI for distribution and MPI for overlapping deprivation, with dated disaggregation

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Production measurement remains necessary.
- **B - Incorrect:** Rank suppresses components and relativity.
- **C - Incorrect:** Index movement alone does not identify causes.
- **D - Correct:** The dashboard matches each measure to its purpose and preserves metadata.

Examiner trap 32: The correct answer is a coordinated dashboard, not a contest for one supreme index.

PYQS AND ANSWER PRACTICE

VERIFIED PYQ ROUTES AND KEY DISCIPLINE

The following demands are verified through repository routing and locally held official papers where available. No final official/local answer key or official model answer is available for these entries, so no answer is inferred.

PYQ 1 - UPSC Prelims GS-I 2018, Q48

Verified routed demand: Conditions under which rise in GNP per capita does not connote economic development.

Answer withheld pending official UPSC key.

PYQ 2 - UPSC Prelims GS-I 2019, Q77

Verified routed demand: Components of the then World Bank Ease of Doing Business index; used here only as an index-ownership and scope distinction.

Answer withheld pending official UPSC key.

PYQ 3 - UPSC Prelims GS-I 2019, Q80

Verified routed demand: Meaning of social capital in national development.

Answer withheld pending official UPSC key.

PYQ 4 - UPSC Mains GS-II 2020, Q16

Verified routed demand: Analyse the incidence and intensity of poverty in comparison with income-based poverty measurement. **15 marks, 250 words.**

Answer withheld pending official UPSC key.

PYQ 5 - UPSC Mains GS-III 2024, Q1

Official locally verified wording: "Examine the pattern and trend of public expenditure on social services in the post-reforms period in India. To what extent this has been in consonance with achieving the objective of inclusive growth?" **10 marks, 150 words.**

Answer withheld pending official UPSC key.

PYQ 6 - UPSC Mains GS-III 2025, Q1

Official locally verified wording: "Distinguish between the Human Development Index (HDI) and the Inequality-adjusted Human Development Index (IHDI) with special reference to India. Why is the IHDI considered a better indicator of inclusive growth?" **10 marks, 150 words.**

Answer withheld pending official UPSC key.

PYQ 7 - UPSC Prelims GS-I 2026, Q100

Verified routed demand: Global MPI methodology, indicators and institutional comparison. The locally held key is provisional, not final.

Answer withheld pending official UPSC key.

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish economic growth from economic development. Answer in 150 words.

Model answer:

Economic growth is the sustained expansion of real output or real income; development is the wider improvement in productive structure, distribution, capabilities and sustainability.

First, growth is quantitative. Real GDP, real GVA and real per-capita income show the size and pace of expansion. Development asks whether workers move into higher-productivity and decent employment. Second, Amartya Sen's capability approach shifts attention from income possessed to real freedom to be healthy, educated and secure. Third, distribution matters: a per-capita average can rise while regional, gender or social-group gaps widen. Fourth, environmental depletion can raise current output while weakening future welfare.

Growth nevertheless remains essential because jobs, household income and tax revenue finance capability formation. The correct relationship is therefore conditional: productivity-led, employment-intensive and ecologically resilient growth becomes development when institutions and public services convert resources into widely shared freedoms.

Answer method audit: Claim -> named evidence -> analysis -> qualification -> reasoned verdict.

ORIGINAL MAINS 2 - 10 MARKS

Question: Explain why the geometric mean and logarithmic income transformation are used in HDI. Answer in 150 words.

Model answer:

UNDP's HDI combines health, education and living-standard indices.

The geometric mean, $HDI = (I_h \times I_e \times I_i)^{1/3}$, penalises imbalance. A very high income index cannot fully compensate for weak longevity or schooling as easily as under a simple arithmetic average. It therefore reflects the proposition that all three capabilities matter.

The income index uses natural logarithms of GNI per capita. UNDP's 2025 Technical Note 1 explains the concave conversion of income into capabilities: an additional dollar normally expands choices more near subsistence than at a high income. Log transformation captures this diminishing contribution.

These choices improve conceptual discipline but do not make HDI a complete welfare measure. The index remains sensitive to goalposts and data revisions, and it omits distribution, poverty, security and environmental pressure. Hence HDI should be read with components, IHDI and other dashboards.

Answer method audit: Claim -> named evidence -> analysis -> qualification -> reasoned verdict.

ORIGINAL MAINS 3 - 15 MARKS

Question: Discuss the drivers of economic growth and the conditions under which growth becomes inclusive and sustainable development. Answer in 250 words.

Model answer:

Growth arises from labour, physical capital, human capital, technology and institutions. Capital accumulation expands capacity; education, health and skills improve labour quality; innovation and infrastructure raise productivity; and predictable institutions coordinate investment. Sustained per-capita growth ultimately requires productivity because factor accumulation faces diminishing returns.

The development outcome depends on transmission. Employment-intensive structural transformation must move workers from low-productivity vulnerability to more productive, secure work. Jobs and wages strengthen household nutrition and schooling, while profits and a broader tax base finance investment and public services. The *Economic Survey 2025-26* treats education, health, skills and employment as connected inputs into productivity and social mobility.

Three failures can break this chain. First, capital-intensive enclaves may generate job-poor growth. Second, inequality and weak services may prevent poorer households from converting income into capabilities. Third, pollution, resource depletion and climate shocks can shift costs to vulnerable groups and future generations.

Policy should therefore combine competitive investment and infrastructure with labour-intensive sectors, female participation, quality health and education, portable social protection, lagging-region investment and a just green transition. Outcomes, not expenditure alone, should be tracked through jobs, real wages, learning, health, HDI/IHDI, monetary poverty and MPI.

Thus growth is the resource base, but inclusion, capability conversion and ecological resilience determine whether it becomes durable development.

Answer method audit: Claim -> named evidence -> analysis -> qualification -> reasoned verdict.

ORIGINAL MAINS 4 - 15 MARKS

Question: Compare HDI and IHDI and assess why IHDI is more relevant to inclusive growth. Answer in 250 words.

Model answer:

HDI and IHDI share the same three dimensions - health, education and standard of living - but answer different questions.

HDI measures average achievement. It normalises life expectancy, expected and mean years of schooling, and GNI per capita in PPP terms, then takes the geometric mean of the three dimension indices. It can compare capability levels and expose why similar incomes yield different social outcomes.

IHDI adjusts each dimension for inequality. Under UNDP's 2025 Technical Note 2, an Atkinson-type inequality measure discounts the health, education and income indices; their geometric mean forms IHDI. With perfect equality IHDI equals HDI; as inequality rises IHDI falls below it. The proportional loss is $1 - \text{IHDI}/\text{HDI}$.

IHDI is therefore more relevant to inclusive growth because it tests whether average achievement is broadly distributed. Two countries with the same HDI may have different IHDI when longevity, schooling or income is concentrated.

However, IHDI is not a fourth dimension, a poverty rate or a complete inclusion index. UNDP notes that it is not association-sensitive because all dimensions are not jointly observed for each individual. It also omits employment quality, voice and environment.

For India, HDI should establish average capability and IHDI the distributional discount, supplemented by MPI, jobs and subgroup dashboards.

Answer method audit: Claim -> named evidence -> analysis -> qualification -> reasoned verdict.

ORIGINAL MAINS 5 - 20 MARKS

Question: Explain the global MPI methodology and evaluate its advantages and limitations relative to income poverty. Answer in 250 words.

Model answer:

The global Multidimensional Poverty Index, developed by OPHI with UNDP, measures acute overlapping deprivation through the Alkire-Foster method.

Its three equally weighted dimensions are health, education and living standards. Nutrition, child mortality, years of schooling and school attendance each weigh one-sixth. Cooking fuel, sanitation, drinking water, electricity, housing and assets each weigh one-eighteenth. Indicator-specific cutoffs identify each household deprivation; weights are summed into score c . A person in a household with $c \geq 1/3$ is MPI poor. Incidence H is the poor population share; intensity A is their average deprivation score; $MPI = H \times A$.

MPI improves on a monetary headcount in three ways. It reveals deprivation composition and overlap; it distinguishes how many are poor from how poor they are; and it can be decomposed by indicator, region and group for targeting. Public services may also improve direct outcomes without an immediate equivalent rise in household income.

Yet MPI is not superior for every purpose. Indicator, weight and cutoff choices affect results. Household identification can hide intra-household inequality. Survey lag misses sudden shocks, and threshold crossing can create classification sensitivity. MPI does not estimate the cash shortfall required to cross a monetary line.

Policy should therefore use income poverty for resource adequacy and MPI for direct, overlapping capability deficits, supported by uncensored indicators and sensitivity analysis.

Answer method audit: Claim -> named evidence -> analysis -> qualification -> reasoned verdict.

ORIGINAL MAINS 6 - 20 MARKS

Question: Assess India's National MPI as a tool for federal and district development policy. Answer in 250 words.

Model answer:

India's National MPI translates the Alkire-Foster framework into a domestic diagnostic led by NITI Aayog and based principally on NFHS household microdata.

The index uses health, education and standard-of-living dimensions but adapts the global architecture to 12 indicators. It adds maternal health and bank account. Nutrition weighs one-sixth; child/adolescent mortality and maternal health one-twelfth each; the two education indicators one-sixth each; and seven living-standard indicators one-twenty-first each.

Its principal strength is decomposability. The 2023 Progress Review compares NFHS-4 (2015-16) and NFHS-5 (2019-21), reports the national headcount falling from 24.85 to 14.96 percent, and provides State/UT and district evidence. Governments can identify whether nutrition, schooling, sanitation, housing or finance drives a local burden, assign departmental responsibility and target lagging districts.

However, the report's publication date is not the data year. NFHS periodicity creates lag; repeated cross-sections do not track the same households; district averages can hide social-group differences; and household classification can conceal unequal deprivation within families. National indicator definitions and weights also mean its values are not interchangeable with the global MPI.

The tool should guide cooperative federalism through transparent district dashboards, outcome audits and convergence of health, education, nutrition and basic-service programmes, while monetary poverty, employment and individual-level gender evidence remain complementary.

Answer method audit: Claim -> named evidence -> analysis -> qualification -> reasoned verdict.